Top 10 Tax Write-Offs for Real Estate Investors

Creating a successful rental business means knowing how to maximize all the available tax write-offs for real estate investors. Luckily, there are a lot of tax benefits for rental property investments compared to other investment categories.

That said, to help you get a head start on your tax planning, let's look at the top 10 tax write-offs for real estate investors.

- Interest
- Depreciation
- Insurance
- Legal Services
- Home Repairs
- Employees or Contractors
- Personal Property
- Pass-Through Tax Deduction
- Travel Expenses
- Home Office Usage

Interest

One of the most significant tax write-offs for investors is interest. Deductions in this category may include interest on mortgage loan payments used to purchase or repair the rental home. Otherwise, landlords can claim interest from credit cards that property owners use to buy goods or services for the rental house.

Depreciation

Another extremely popular tax write-off for investors includes depreciation. Depreciation allows property owners to get back a portion of real estate costs over several years.

That said, property owners cannot fully deduct the cost of a single-family home, multi-family building, or other rental space in the year it is purchased..

Insurance

Rental insurance policy premiums are all tax-deductible. Some of the most common tax-deductible insurance policies include landlord liability, fire, theft, or flood insurance. Along with that, if you have employees, landlords can deduct expenses related to health or workers' compensation insurance.

Professional or Legal Services

Rental property owners can write off fees paid to legal professionals like accountants, financial advisors, or tax specialists. However, all deducted costs must be directly related to your rental business. Additionally, rental homeowners can deduct property management fees since it is a professional service.

Home Repairs

Home repairs are another excellent tax write-off for rental homeowners. That said, for it to count as a deduction, the repair must be necessary, reasonable, and ordinary. Along with that, landlords can only deduct repairs within the year that they occurred. For example, some repairs may include fixing a leak, repainting the walls, or patching the roof.

Employees or Contractors

When landlords hire an outside contractor or employee to perform tasks related to the rental business, it entitles them to deduct their wages. However, for tax purposes, it counts as a business expense. That said, landlords can write off employee wages, whether a maintenance man or a property manager.

Personal Property

Sometimes, landlords use personal property within their rental homes. Some examples of personal property may include appliances, furniture, or yard maintenance equipment. All of these items may be deductible within the given tax year. However, this applies to property items costing up to $2,000.

Pass-Through Tax Deduction

Established by the Tax Cuts and Jobs Act in 2018, this tax write-off allows landlords to deduct either of the following depending on their income:

- Up to 20% of Net Rental Income
- 5% of Initial Property Cost + 25% of Amount Owners Pay Employees

Unless extended by Congress, this write-off will expire on January 1, 2026.

Travel Expenses

Owning one or more rental properties can involve quite a bit of traveling. Whether you have a showing with a tenant or a necessary repair, landlords can travel a lot. Luckily, investors can deduct most driving and travel expenses related to their rental business.

Depending on your travel methods, the tax benefits can add up quickly. For example, if you have a vehicle, van, or truck used for maintenance, you can deduct quite a bit. Expenses like gasoline, vehicle maintenance, and repairs can be deductible. Along with that, standard mileage used for travel may also be deductible.

Home Office Usage

Many individuals these days are starting to work from home. Many landlords don’t know that they can claim allowances for home offices expenses, but they can! This is not as common as other tax write-offs for landlords but can still be highly beneficial.

If you meet the requirements, landlords can deduct expenses related to office work, workshop space, or other space in the home used for the rental business.